

OUR COMMITMENT TO SUSTAINABILITY



Ms. Yanika Amarasekera
Chairperson
Board Sustainability Committee

MESSAGE FROM THE CHAIRPERSON

Throughout the year, LBF has remained steadfast in its commitment to sustainability by integrating environmental, social, and governance principles into our business operations. Our initiatives were driven by the overarching goal of generating long-term value for our stakeholders, minimising our environmental impact, and making a positive societal contribution.

As Chairperson of the Board Sustainability Committee, I am pleased to provide an update on LBF's sustainability activities for the financial year 2023/24.

Throughout the year, LBF has remained steadfast in its commitment to sustainability by integrating Environmental, Social, and Governance (ESG) principles into our business operations. Our initiatives were driven by the overarching goal of generating long-term value for our stakeholders, minimising our environmental impact, and making a positive societal contribution.

LBF actively pursued numerous initiatives to minimise its environmental footprint such as implementing energy efficient practices across its operations, introducing innovative technologies, promoting a paperless environment, and engaging in waste reduction and recycling programs. Additionally, LBF continued to support green financing to reduce scope 3 GHG emissions. Most importantly, our digital initiatives significantly enhanced operational efficiencies while maintaining a low environmental impact.

During the year, LBF prioritised social welfare and community development. Our CSR programs focused on education, healthcare, and economic empowerment, with the goal of uplifting underprivileged communities. The Company also prioritised employee well-being by providing extensive training programs,

fostering a diverse and inclusive workplace, and ensuring fair labour practices. Additionally, the Company engaged in frequent stakeholder dialogues to understand and address community needs effectively.

In terms of governance and ethics, LBF maintained robust governance structures and established a dedicated Board Sustainability Committee to oversee its sustainability initiatives. The Company adhered to the highest ethical standards, implementing comprehensive risk management frameworks, anti-corruption policies, and compliance mechanisms. LBF ensured transparency and accountability through regular disclosures and reporting, aligning with global standards such as GRI, United Nations' SDGs, and other sustainability related voluntary disclosures.

LBF's sustainability reporting aligns with international best practices, offering detailed insights into its ESG performance. The sustainability reporting information LBF provides include both quantitative metrics and qualitative assessments, highlighting the Company's impact and progress over time. To ensure credibility and stakeholder trust, the Company engages third-party auditors to verify the accuracy and reliability of its sustainability data.

Looking ahead, LBF is dedicated to continually advancing its sustainability practices. The Company aims to set more ambitious targets for reducing its environmental impact, expand its social programs to reach a broader range of beneficiaries, and further strengthen its governance frameworks. LBF is dedicated to staying at the forefront of sustainability, leveraging innovation and best practices to drive positive change within the financial sector and beyond.

I extend my sincere appreciation to all employees, partners, and stakeholders who have contributed to our sustainability efforts. Your dedication and commitment are invaluable as we work together to create positive change.

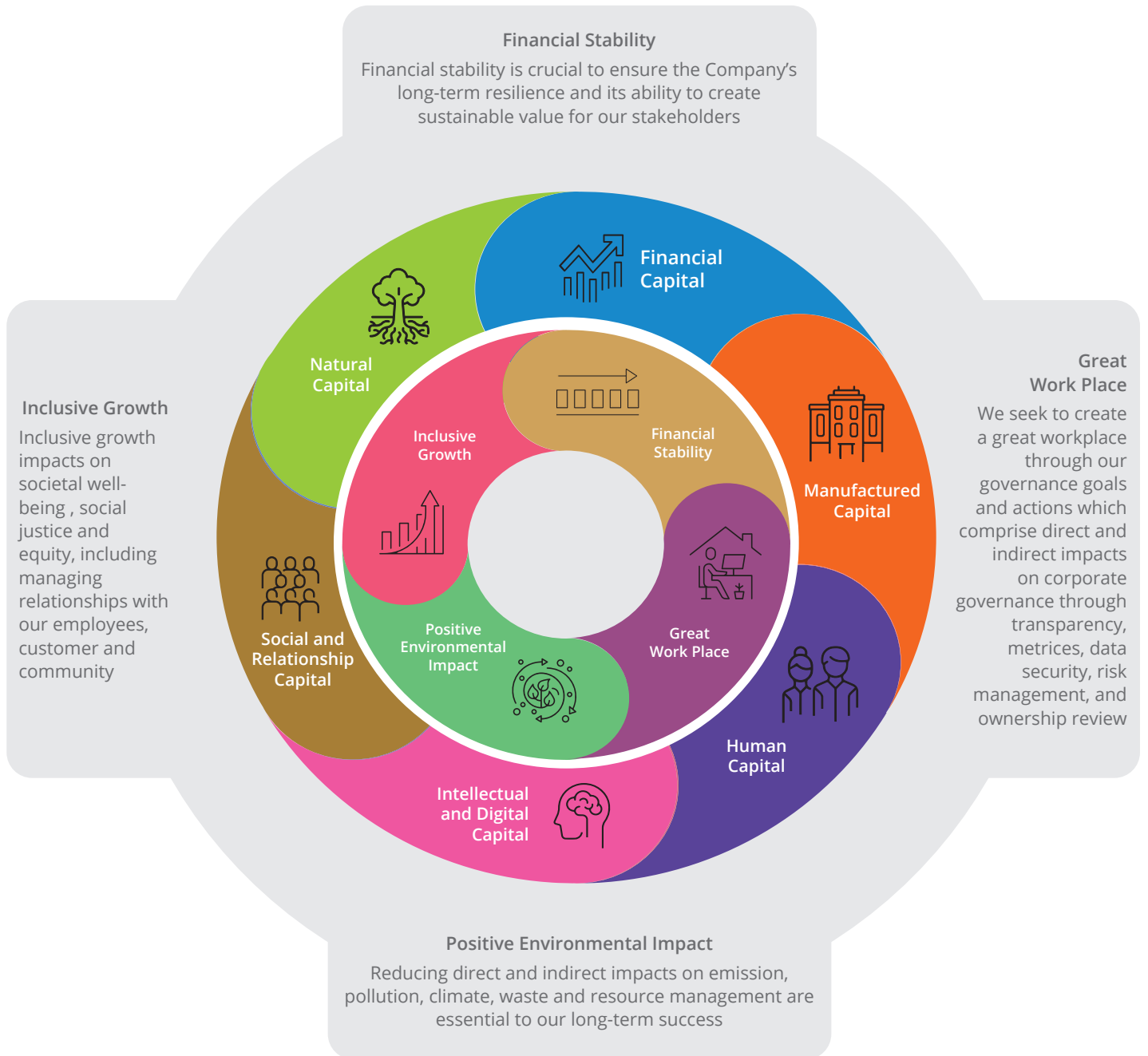
A handwritten signature in black ink that reads "Yanika Amarasekera".

Ms. Yanika Amarasekera
Chairperson
Board Sustainability Committee

27 May 2024

SUSTAINABILITY VALUE CREATION MODEL

LB Finance continues its journey to integrate sustainability in a structured manner within the Company in readiness for full compliance with SLFRS S1 & S2 by due dates. The model below sets out LBF's Sustainability Value Creation Model which encapsulates our ESG Framework. The model ensures that all three ESG pillars are covered and connects sustainability strategy with capitals to drive achieving the Company's vision, mission, goals and values.





Board Sustainability Committee Members

Ms. Yanika Amarasekera
Chairperson/Independent Non-Executive Director

Mr. G.A.R.D. Prasanna
Non- Independent Non-Executive Director

Mr. Niroshan Udage
Deputy Managing Director

Ms. Ashwini Natesan
Independent Non-Executive Director

- Management Committee Members**
- Deputy Managing Director
 - Chief Financial Officer
 - AGM - Risk Management
 - Chief Internal Auditor
 - AGM - Treasury
 - Senior Manager - Compliance
 - Senior Manager - Business Process Development
 - Senior Manager Digital Strategy & Sustainability
 - Manager Sustainability & Corporate Reporting

OUR ESG JOURNEY

Our ESG journey is captured alongside with the adoption of GRI, progressing to widen the scope as momentum gathered on sustainability reporting. We continue to be at the forefront of sustainability reporting as we believe this is the path to corporate longevity and building resilience. This year, we have set out our goals for the short, medium and long term which will be our roadmap in the future.

